

# Key Information Document: Multipliers on Derived Indices (Volatility Indices)

## 1. Purpose of the document

This document provides you with key information about this investment product. It is not marketing material. The information is required by law to help you understand the nature, risks, costs, potential gains, and potential losses of this product and to help you compare it with other products.

## 2. Product

**Product name:** Multipliers on Derived Indices (Volatility Indices)

**Product manufacturer:** Deriv Investments (Europe) Limited ("the Company"), located at W Business Centre, Level 3, Triq Dun Karm, Birkirkara BKR 9033, Malta (Contact us page: [deriv.com/eu/contact-us](https://deriv.com/eu/contact-us), phone: +356 2131 5791), is regulated by the Malta Financial Services Authority. This document was last updated on 27 August 2026.

**You are about to purchase a product that is not simple and may be difficult to understand.**

## 3. What is this product?

**Type:** Multipliers on Derived Indices — Volatility Indices

Multipliers combine trading features of Options and Contracts for Difference, allowing you to obtain indirect exposure to an underlying asset. In a Multipliers contract, the return is determined by the percentage in price movement multiplied by your stake and increased by the multiplier chosen. For more information on contract specifications offered on Multipliers, visit [deriv.com/eu/trade/multipliers](https://deriv.com/eu/trade/multipliers).

The generation of our Derived Indices involves first generating a random number and then using that random number to produce a market quote. Our random number generator follows a cryptographically secure methodology to generate random numbers from a uniform distribution. This means that Derived Indices will not be affected by any adverse market conditions. Therefore, no real-world event could trigger price movement in an unexpected manner. For more information on instruments available on Derived Indices, please refer to [deriv.com/eu/markets/derived-indices/synthetic-indices](https://deriv.com/eu/markets/derived-indices/synthetic-indices).

Each Volatility Index is named according to its percentage of volatility, which is fixed for that index, so this product allows you to trade with fixed volatility.

### Objectives

When trading on Multipliers, the objective is to speculate on the price movement of an underlying asset. For instance, if you think the price will go up, you may purchase a "Multipliers Up" contract. Conversely, if you anticipate that the price will go down, you may purchase a "Multipliers Down" contract. The difference between the open and close price of the contract is the price movement. You will earn a profit when the price moves in favour of your contract. For example, for a Multipliers Up contract, you earn a profit by closing your trade when the price moves higher than the price at which you purchased your contract.

Your return is based on this price movement multiplied by your stake and ultimately amplified by the amount of the multiplier. The multiplier value increases your market exposure, potentially increasing your profit. However, Multipliers differ from other forms of trading on leverage, as your loss will never exceed your stake.

Your profit or loss is determined by calculating the difference between the closing price and the opening price of the contract, then multiplying that difference by the trade size (units), and subtracting any costs from the result (see the **'What are the costs?'** section for more details).

### Intended retail investor

Multipliers are intended for investors who have knowledge of and experience with trading leveraged products. The likely investors will comprehend key concepts of trading on margin, how leverage works, and that their maximum loss is limited to the stake paid to open the position.

### Term

Multipliers on Derived Indices have no fixed term or maturity date, and there is no recommended holding period. You may open and close positions based on market movement and your individual trading strategy and objectives. The Company may unilaterally terminate the contract under specific circumstances outside of the Company's control, which, amongst others, include:

- Delisting of the underlying asset or product,
- A strategic business decision to discontinue the product offering, or
- Regulatory intervention that requires or mandates termination.

In addition, the contract may be automatically terminated on predetermined termination dates or upon the occurrence of specific events, where applicable. These dates and circumstances, if known, will be communicated to the retail investor in advance.

## What are the risks, and what could I get in return?

### Summary risk indicator ('SRI')

The summary risk indicator is a guide to the level of risk of this product compared to other products. It shows how likely it is that you will lose money because of price movements or because we are not able to pay you. We have classified this product as 7 out of 7, which is the highest risk class. Volatility may affect your trade and cause it to close at an unfavourable price, and the relatively higher volatility of Derived Indices can further increase your risk of loss. As a result, you may lose your entire investment.



There is no minimum or recommended holding period for this product.

**Be aware of currency risk. If you receive payments in a different currency, the final return you will get depends on the exchange rate between the two currencies. The maximum possible loss is your stake.**

Price movement may affect your return, and you may lose up to your entire investment. This risk is not considered in the SRI shown above.

Derived Indices are not real-world market indices; there is no market liquidity or underlying asset risks, and we will always be the counterparty for all contracts. There is no capital protection against market risk, credit risk, or liquidity risk. This product does not include any protection from future market performance.

### Performance scenarios

Multipliers combine trading features of Options and Contracts for Difference, allowing you to obtain indirect exposure to an underlying asset. A Multiplier is a contract where the return is determined by the percentage in price movement multiplied by your stake and increased by the multiplier chosen.

The following scenarios illustrate how your investment could perform. You can compare them with the scenarios of other products. The table below takes Volatility 75 Index with the following trade parameters into consideration.

| Multipliers (24-hour holding period)           |         |                                    |     |                           |           |
|------------------------------------------------|---------|------------------------------------|-----|---------------------------|-----------|
| Opening price (USD):                           | 100,000 | Multiplier value:                  | 5   | Commission rate:          | 0.0006932 |
| Stake (USD):                                   | 20      | Notional value of the trade (USD): | 100 | Commission charged (USD): | 0.1       |
| Max commission at 0.5% of notional value (USD) |         |                                    | 0.5 |                           |           |

| Up Multiplier        |               |              |             | Down Multiplier      |               |              |             |
|----------------------|---------------|--------------|-------------|----------------------|---------------|--------------|-------------|
| Performance scenario | Closing price | Price change | Profit/Loss | Performance scenario | Closing price | Price change | Profit/Loss |
| Favourable           | 110,000.00    | 10%          | 9.90        | Favourable           | 95,000.00     | -5%          | 4.90        |
| Moderate             | 105,000.00    | 5%           | 4.90        | Moderate             | 98,000.00     | -2%          | 1.90        |
| Unfavourable         | 98,000.00     | -2%          | -2.10       | Unfavourable         | 105,000.00    | 5%           | -5.10       |
| Stress               | 95,000.00     | -5%          | -5.10       | Stress               | 110,000.00    | 10%          | -10.10      |

The performance scenarios displayed represent what you could get depending on the price movement. The scenarios presented are only indicative; your return will vary depending on how the market performs and how long you hold the contract. These figures do not take into account your personal tax situation, which may also affect your return.

These performance scenarios assume you only have one position open and do not take into account any other positions. If you have multiple positions with us, your risk may be cumulative and not limited to one position.

The stress scenarios above show what you might get back in extreme market circumstances, and they do not take into account a situation where we are not able to pay you.

### What happens if the Company is unable to pay out?

If the Company is unable to fulfil its financial obligations, you may lose your entire investment.

The Company participates in the Investor Compensation Scheme, which covers 90% of our net liability to a client in respect of investments which qualify for compensation under the Investment Services Act subject to a maximum payment of €20,000 to any one person. Learn more about the

Investor Compensation Scheme here: [docs.deriv.com/tnc/eu/general-terms.pdf](https://docs.deriv.com/tnc/eu/general-terms.pdf).

## What are the costs?

The tables below show an example of the amounts that are taken from your investment to cover different types of costs throughout the lifetime of the investment. These amounts depend on how much you invest, how long you hold the product, and how the product performs. The amounts shown here are illustrations based on a notional investment amount.

### Cost over time

The Reduction in Yield ("RIY") shows the impact of total costs you pay on the performance of the investment. The total costs include one-off costs only. Yield returns from Multipliers are unaffected by the duration of holding.

| Costs over time                                             | Multiplier Up | Multiplier Down |
|-------------------------------------------------------------|---------------|-----------------|
| Stake (USD)                                                 | 20.00         | 20.00           |
| Commissions (USD)                                           | 0.10          | 0.10            |
| RIY as a percentage of stake<br>(Without deal cancellation) | 0.50%         | 0.50%           |

### Composition of costs

The table below shows the cost involved when you purchase a Multipliers contract on Volatility 75 Index.

| Breakdown of costs |                  |             |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             |
|--------------------|------------------|-------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| One-off costs      | Entry/Exit costs | Commissions | <p>A percentage of the notional value (stake*multiplier) is included in the purchase price of the contract for all underlying instruments.</p> <p>The commission applied can be up to 0.5% (for the current commission rates, kindly refer to the trading platform) of the notional value or a minimum of ten cents of your account's currency. This is displayed prior to purchasing your contract. For example:</p> <p>If you purchase a Multiplier UP contract on Volatility 75 Index with a stake of 20 USD and a multiplier of 5, the notional value of the contract is 100 USD. The commission is 0.0006932 of the notional value. Therefore, the cost of commission is 0.069 USD. Since 0.069 USD is less than 0.1, the commission will be 0.1 USD in this case.</p> |

### How long should I hold it, and can I take money out early?

Multipliers are intended for short-term trading and are generally not suitable for long-term investments. There is no recommended holding period and no cancellation fees. You can open and close a Multipliers contract at any time during market hours.

### How can I complain?

Complaints may be submitted to [complaints@deriv.com](mailto:complaints@deriv.com). For more information about our complaints and dispute process, kindly refer to our complaints policy section in [docs.deriv.com/tnc/eu/general-terms.pdf](https://docs.deriv.com/tnc/eu/general-terms.pdf).

### Other relevant information

Multipliers are available on our Deriv Trader platform. For further information, refer to the full suite of terms and conditions here: [deriv.com/eu/terms-and-conditions](https://deriv.com/eu/terms-and-conditions).

You may print out this information for your reference or request a paper copy free of charge by contacting us via [https://deriv.com/eu?is\\_livechat\\_open=true](https://deriv.com/eu?is_livechat_open=true).